

LIQUIDITY

Where Smart Money Finds Its Fuel

DOJO GAINS - Core Pillar 1

What is Liquidity?

- Liquidity = Resting orders (stop loss, stop buys, stop sells)
- Institutions need liquidity to fill positions
- Retail places stops at predictable levels
- Smart money 'hunts' these stops

LIQUIDITY CONCEPT

Stop Losses (BSL)

Swing High

Price sweeps

Liquidity is the fuel that moves markets

Buy-Side Liquidity (BSL)

BSL = Stop losses ABOVE swing highs



Short sellers place stops HERE

When price sweeps this zone:

1. Buy stops trigger (become market)
2. Smart money sells into this buying
3. Price reverses DOWN

INSERT: BSL Sweep Chart Example

Sell-Side Liquidity (SSL)

SSL = Stop losses BELOW swing lows



Long traders place stops HERE

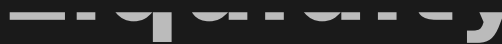
When price sweeps this zone:

1. Sell stops trigger (become market)
2. Smart money buys into this selling
3. Price reverses UP

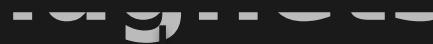
INSERT: SSL Sweep Chart Example

Equal Highs & Lows =

EQUAL HIGHS (EQH)



EQUAL LOWS (EQL)



Same Level = More Stops



Same Level = More Stops



- Double/Triple tops and bottoms are LIQUIDITY POOLS
- More touches at same level = More stops accumulated
- Smart money LOVES to sweep these levels

INSERT: Equal Highs/Lows Sweep Example

Liquidity Sweep in Action

Step-by-Step Liquidity Sweep:

- 1** Price creates swing high - retail goes SHORT with stops above
- 2** Price rallies and SWEEPS the high (takes out stops)
- 3** Buy stops trigger - smart money SELLS into this buying
- 4** Price REVERSES and drops - targeting SSL below

INSERT: Full Liquidity Sweep Trade Example

The sweep IS the setup

How to Trade Liquidity

- 1. Mark key liquidity levels (highs/lows, equal H/L)
- 2. Wait for price to SWEEP that level
- 3. Look for reversal confirmation (rejection candle, BOS)
- 4. Enter OPPOSITE direction of the sweep
- 5. Target the opposite liquidity pool

SWEEP HIGH



= SHORT

SWEEP LOW

= LONG



INSERT: Entry Example After Sweep

Key Takeaways

BS

Above highs
Target when
BEARISH

SSL

Below lows
Target when
BULLISH

EQH/

Strongest pools
Highest probability

- Smart money sweeps liquidity before real moves
- Don't place stops at obvious levels
- Trade WITH smart money, not against them

Follow the liquidity, find the money